

Anti-Money Laundering Act (ALPA), 2064

Sampatti Shuddhikarana Nibarana Ain, 2064

1. Executive Summary

The Asset (Money) Laundering Prevention Act, 2064 is Nepal's primary framework to combat money laundering and terrorist financing. It mandates all banks and financial institutions to implement strict Customer Due Diligence (CDD), monitor transactions, and report suspicious activities to the Financial Information Unit (FIU) of Nepal Rastra Bank.

2. Know Your Customer (KYC) & CDD (Section 7)

Banks must verify client identity before opening any account or providing services:

- Customer Verification: Citizenship certificate, passport, official ID, and photos.
- Beneficial Ownership: Identify the ultimate natural person controlling the account (beneficial owner).
- High-Risk Customers: PEPs (Politically Exposed Persons) require senior management approval and enhanced monitoring.

3. Mandatory Reporting Requirements

- **TTR (Threshold Transaction Report):** Any single or aggregated cash transaction of NRs. 10 Lakhs (1 Million NPR) or more in a single day must be reported to the FIU within 15 days.
- **STR (Suspicious Transaction Report):** If there is reasonable ground to suspect that funds are proceeds of crime or linked to terrorism, the bank must file an STR to the FIU within 3 days. There is NO minimum threshold limit for STR.

4. Penalties for Compliance Failures

- If a BFI fails to report STR/TTR or perform KYC, the regulator (NRB) can fine the bank up NRs. 10 Million.
- Employees violating compliance can face criminal prosecution, fines, and imprisonment.